

RESERVE BANK OF INDIA - REGULATORY FRAMEWORK FOR DIGITAL LENDING

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1. Statutory Authority and Scope

These directives are issued by the Reserve Bank of India pursuant to powers conferred under Sections 21, 35A and 56 of the Banking Regulation Act, 1949 and Chapter IIIB of the Reserve Bank of India Act, 1934. All Commercial Banks, Urban Co-operative Banks, and NBFCs undertaking digital lending are bound by these rules.

2. Fundamental Rules of Digital Lending

The guidelines protect borrowers from predatory practices, hidden costs, illegal recovery methods, and data misuse:

A. Direct Loan Disbursals and Repayments:

All loan disbursements and repayments must be executed **strictly between the bank account of the borrower and the regulated entity (RE)**. Under no circumstances shall loan funds pass through or be routed via any pool account, escrow account, or pass-through account managed by a Lending Service Provider (LSP) or third-party fintech app.

B. Key Fact Statement (KFS) Mandate:

REs must provide a standardized, unambiguous Key Fact Statement (KFS) to the borrower prior to contract execution. The KFS must transparently disclose the All-Inclusive Annual Percentage Rate (APR), detailed repayment schedule, recovery charges, cooling-off provisions, and nodal grievance officer contacts. No fee or charge not mentioned in the KFS can be recovered from the borrower.

C. Cooling-Off / Look-up Period:

A mandatory cooling-off period must be provided during which the borrower can exit the digital loan without penalty. For loans having a tenure of **7 days or more**, the cooling-off period is a minimum of **3 days**. For loans having a tenure of less than 7 days, the cooling-off period is **1 day**. The borrower can exit by paying only the principal and proportionate APR without any foreclosure fee.

D. Digital Lending Apps (DLA) Data Privacy Restrictions:

Strict restrictions apply to customer data collection by DLAs and LSPs:

- DLAs are strictly prohibited from accessing mobile storage, contact lists, call logs, phone state, and media files.
- One-time access to camera, microphone, and location is permitted solely for customer onboarding and KYC completion, subject to prior explicit, granular consent.
- Biometric data cannot be stored on any third-party LSP server under any circumstance.
- The borrower must be provided options to revoke consent, request deletion of collected personal data, and restrict data sharing with third parties.

E. Grievance Redressal and Nodal Officer Covenants:

- Regulated Entities and LSPs must appoint a dedicated Nodal Grievance Redressal Officer whose direct contact details, email, and phone number must be displayed on the website and app.
- Any customer complaint must be resolved within **30 calendar days** of receipt. If unresolved or rejected within 30 days, the borrower is entitled to escalate the complaint directly to the RBI Ombudsman under the Reserve Bank - Integrated Ombudsman Scheme (RB-IOS).